

4-2d Statement of Cash Flows

The statement of cash flows that would accompany NetSolutions’ financial statements in [Exhibit 2](#) is shown in [Appendix 2](#) of this chapter. While the income statement, statement of stockholders’ equity, and balance sheet can be prepared from the Adjusted Trial Balance columns of [Exhibit 1](#), the statement of cash flows is prepared by analyzing the cash account. In doing so, each cash transaction is classified as an operating, investing, or financing activity. In practice, however, the statement of cash flows is normally prepared using a different, more complex method called the *indirect method*. The indirect method is described and illustrated in [Chapter 13](#), “Statement of Cash Flows.” For this reason, any further discussion of the statement of cash flows is delayed until [Chapter 13](#).

Check up Corner 4-1

Financial Statements from Adjusted Trial Balance

The following account balances were taken from the adjusted trial balance for Laser Corrective Vision Company, a health care company, for the fiscal year ended December 31, 20Y2:

Common Stock	\$175,000	Miscellaneous Expense	\$ 8,500
Depreciation Expense	25,000	Rent Expense	20,000
Dividends	6,000	Salaries Expense	165,000
Fees Earned	312,000	Supplies Expense	15,500
Insurance Expense	6,000	Utilities Expense	12,000

On January 1, 20Y2, Retained Earnings had a balance of \$100,000. During 20Y2, common stock of \$50,000 was issued.

Prepare an income statement and statement of stockholders’ equity for Laser Corrective Vision.

